

B. Public-Utility Bonds:

All the solvent public-utility companies with bonds listed on the New York Stock Exchange were classified according as 1936 fixed charges were covered less than 1½ times, between 1½ times and twice, and more than twice. The following compilation shows the comparative performance of the companies in the first and third classes, each company being represented by one important bond issue.

Item	Total interest earned in 1936	Average per \$1,000 bond		
		Coupon rate	1937–1938	
			High price	Low price
Class I: 42 companies earning 1936 interest more than twice	3.67 times	3.93%	108 ¹ / ₄	102 ³ / ₄
Class II: 11 companies earning 1936 interest less than 1½ times	1.29 times	5.16%	90 ⁷ / ₈	61 ¹ / ₄

Of the 42 issues in Class I, only 5 declined more than 10%. All these later recovered to within three points of their 1937 high, or better. Of the 11 issues in Class II only 1 failed to decline more than 10%. This was the obligation of Saguenay Power Co., which is controlled by Aluminum Ltd. of Canada and enjoys certain guarantees by the powerful Aluminum Co. of America.

NOTE 12

For more complete details concerning the following examples see pp. 640–641 of the 1934 edition of this work.

1. Gulf States Steel Co., which sold an issue of 5½% Debentures in 1927 at 98¾ and further bonds of the same issue in 1930, covered the 1929 charges thereon an average of 4.88 times in 1922–1929. The minimum coverage during that period was 3½ times in 1926. But the company operated at a deficit before interest charges in 1930–1932, and the bonds declined to a low of 21 in 1932.

2. Marion Steam Shovel Co., which in 1927 sold an issue of First 6s, due 1947, at 99½, covered the charges thereon an average of 4.11 times in 1922–1929. The minimum coverage during that period was 2.78 times in 1928. But in seven of